Court of Appeals of New Mexico
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Ramon J. Maestas
Chief Clerk

IN THE COURT OF APPEALS OF THE STATE OF NEW MEXICO

IN THE MATTER OF THE PETITION
TO AMEND TITLE 20, CHAPTER 11 OF THE
NEW MEXICO ADMINISTRATIVE CODE
TO REQUIRE REVIEW AND CONSIDERATION
OF HEALTH, ENVIRONMENT AND EQUITY
IMPACTS, 2022-03,

NATIONAL TECHNOLOGY AND
ENGINEERING SOLUTIONS OF SANDIA, LLC;
ALBUQUERQUE ASPHALT, INC.; BLACK
ROCK SERVICES, LLC; VITAL CONSULTING
GROUP, LLC; MOUNTAIN STATES
CONSTRUCTORS, INC.; CURIA NEW MEXICO;
and NEW MEXICO CHAMBER OF COMMERCE,

Appellants,

v.

No. A-1-CA-41666

ALBUQUERQUE-BERNALILLO COUNTY
AIR QUALITY CONTROL BOARD,

Appellee,

and

MOUNTAIN VIEW COMMUNITY ACTION,
MOUNTAIN VIEW NEIGHBORHOOD
ASSOCIATION, and FRIENDS OF VALLE DE ORO,

Intervenors-Appellees.

ALBUQUERQUE ASPHALT, INC., BLACK ROCK SERVICES, LLC, VITAL CONSULTING GROUP, LLC, MOUNTAIN STATES CONSTRUCTORS, INC., CURIA NEW MEXICO, AND THE NEW MEXICO CHAMBER OF COMMERCE'S BRIEF-IN-CHIEF

APPEAL FROM THE ALBUQUERQUE-BERNALILLO COUNTY AIRQUALITY CONTROL BOARD

No. AQCB 2022-3

ORAL ARGUMENT REQUESTED

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CERTIFICATE OF COMPLIANCE

As required by Rule 12-318(A)(1)(c) and (G) NMRA, the undersigned hereby certifies that this brief complies with the type-volume limitation of Rule 12-318(F)(3). According to Microsoft Word 2010, the body of this brief, as defined by Rule 12-318(F)(1), contains less than 11,000 words.

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STATEMENT REGARDING ORAL ARGUMENT

New Mexico law requires transparency, notice, and the opportunity to be heard when the Board engages in rulemaking. The Board's actions were not transparent and were inconsistent with the law, denying stakeholders the opportunity to address the changes, especially the expansion of the burdensome BACT requirements. Therefore, the Board's actions call for meticulous scrutiny by the Court. Petitioners, therefore, request the opportunity to be heard at oral argument.

INTRODUCTION

This appeal is taken from a rulemaking by the Albuquerque-Bernalillo County Air Quality Control Board (Board). After a multi-day hearing, the Board adopted § 20.11.72 NMAC, titled "Health, Environment and Equity Impacts" (HEEI). Petitioners-Appellants Mountain View Neighborhood Association, Mountain View Community Action, and Friends of Valle de Oro (collectively, Petitioners) initiated the HEEI rulemaking process. There were five versions of the proposed HEEI rule. The Board published notice and heard evidence on the fourth version. However, it did not adopt the fourth version that was noticed. Nor did the Board adopt the fifth version. Rather, the HEEI rule that is codified as § 20.11.72 NMAC contains provisions that the Board never noticed, the public never had the opportunity to comment on, the Board did not hear evidence about, and the Board never voted on, in violation of numerous rulemaking procedures required under New Mexico administrative, statutory, and case law. Therefore, the Court should set aside § 20.11.72.

One provision of the rule is so patently illegal and unjustified that early identification of the issue and the defect in this brief is justified. The Board attorney, acting contrary to the determination of the Board in its deliberations and contradicting her own deficient Final Order and Statement of Reasons, inserted a

county-wide requirement for use of Best Available Control Technology (BACT) for a list of 15 Hazardous Air Pollutants (HAPs) without any emission threshold. The Board, however, expressly voted against the county-wide application of such a provision. *Hearing Tr.* at 2322-28. During the discussion about a potential county-wide provision, Board member Galewsky asked whether the provision would apply "even if it's [the facility] not in an overburdened community has to apply the best available control technology?" Board Chair Paul unequivocally said: "No …. Only within or within one mile." Board Member Galewsky replied: "Okay." *Hearing Tr.* at 2328; *see also Motion for Correction of Adopted Rules To Accurately Reflect Record* [RP 1822-1828]. In other words, the Board specifically rejected the county-wide provision contained in the final HEEI rule.

As further reversible error, the Final Order and Statement of Reasons [RP at 1778-1795] included a threshold requirement before application of the provision requiring the imposition of BACT measures. In the text of the regulation attached to the Final Order and Statement of Reasons, the language requiring county-wide BACT for those HAPs emissions specified states:

> D. BACT is also required for permit applicants that emit emissions of common hazardous air pollutants (HAPs) <u>listed in Table 2 in quantities described in 20.11.41.2.B.3</u> NMAC whether or not the source is within an Overburdened Area. RP-1279.

(emphasis added). However, the final HEEI rule language in Part 72, 20.11.72.8(C) NMAC leaves out the threshold language, "in quantities described in 20.11.41.2.B.3

NMAC." This unexplained elimination of the threshold requirement for application of this otherwise unsupported and unapproved county-wide HAPs regulation signals the profound illegal and improper adoption of such a county-wide provision.

SUMMARY OF THE PROCEEDINGS

Petitioners filed their "Petition to Amend Title 20, Chapter 11 of the New Mexico Administrative Code to Require Review and Consideration of Health, Environment and Equity Impacts" (Petition) on November 21, 2022 [RP 0001-0009], requesting the Board to adopt a proposed rule that would require that Albuquerque Environmental Health Department, Air Quality Division to consider "the health, environmental and equity impacts of any new operation permitted under the [New Mexico Air Quality Control Act] and allow the Department to approve appropriate mitigation of those impacts." *Id.*

Between November 21, 2022 and October 24, 2023, Petitioners submitted additional versions of the proposed rule. [RP at 0746-60; 0773-89; 0807-0811; 0912-31; 0932-0951; 0974-0994; 0999-1079]. Each version was substantially different from previous versions. *See id.* On October 24, 2023, the Board published notice of proposed rulemaking that referenced that fourth version of the proposed rule (Version 4). Version 4 [RP at 0999-1079], the noticed version of the proposed HEEI Rule, did not include the following provisions:

- "Best Available Control Technology" (BACT) requirements for new or modified stationary sources throughout Bernalillo County if those sources emitted certain identified hazardous air pollutants (HAPs). *See id.*
- BACT requirements for all new or modified stationary sources in or within one-mile of an overburdened area. *Id.*[1]
- The definitions of "Overburdened Community" and "Social Determinants of Health" contained in §§ 20.11.72.8(D) and (E) NMAC. *Id.*

After the Board noticed Version 4 on October 24, 2023, the parties submitted Notices of Intent to Present Technical Testimony (NOI). Specifically, the Board timely filed their NOI based on Version 4 of the proposed HEEI rule. Petitioners timely filed their NOI and included, as Exhibit 5, a fifth proposed version of the HEEI rule (Version 5). Version 5 was substantially different than Version 4. [*Compare* (Version 5) and RP 0999-1079 (Version 4)]. Like Version 4, Version 5 did not contain any of the above-referenced provisions.

The Board held a hearing from December 4 to 11, 2023. [*See, generally, Hearing Tr.* (RP 1618-1652)]. There was no discussion by any party in opening arguments regarding a county wide HAPs regulation requiring BACT for all new and modified stationery source permits after the effective date of the proposed rule.

[1] Version 4 instead proposed BACT as a mitigation measure dependent on the results of a health, environment, and equity impact analysis. *Id.*

Because no issue of a county-wide requirement for BACT for 15 listed HAPs was part of any proposed rule or was proposed in opening arguments, testimony on application of BACT to HAPs was limited. Paul Wade testified that BACT was best utilized for particulate emissions. TR 1718. No one testified to the statement in the Final Order and Statement of Reasons that "…the adopted regulation also puts a modest burden on those seeking to emit HAPs by requiring BACT analysis, whether or not the permit applicant seeks to emit HAPs in an Overburdened Area." Final Order at ¶ 12 [RP at1782].]; Wade testimony, *Tr.* at 1753-1756; Celente testimony, *Tr.* at 1075-1086, 1535-1536; Branoff testimony, *Tr.* at 1658-1660, 1674-1678.

There was no evidence presented during the hearing about the BACT requirements or definitions referenced with respect to county-wide application of BACT requirements for a list of HAPs emissions without any emission threshold. Testimony regarding BACT was supplied primarily by three witnesses: Mr. Celente, Mr. Wade, and Mr. Branoff. Their testimony on BACT is identified above and did not discuss county-wide BACT applied to all minor sources.[2]

[2] Other than referencing the entire transcript of the hearing generally, it is impossible to cite the lack of evidence presented at the hearing about provisions that were ultimately adopted as § 20.11.72, such as using BACT as a standard permitting requirement. However, Petitioners do not have the burden to prove a negative—that evidence does *not* exist to support using BACT as a standard permitting requirement—because proving a negative is an unrealistic burden to impose on Petitioners. *See, e.g., Pincheira v. Allstate Ins. Co.*, 2008-NMSC-049, ¶ 42, 144 N.M. 601, 190 P.3d 322 (discussing the burden to prove a negative in the context of the admissibility of evidence). Rather, if the Board must show there was substantial

While there was evidence presented about how to define an overburdened community, including the factors to consider in that definition, [*see Hearing Transcript* at 1978-79; 2072-78; 2080-81], there was no evidenced offered about using BACT as a standard permitting requirement, either county-wide or within a mile of overburdened areas, about mandating BACT based on the emission of certain HAPs, or about evidentiary support for the definitions of "Overburdened Community" and "Social Determinants of Health" ultimately adopted as set forth in §§ 20.11.72.8(D) and (E) NMAC. While the cited discussions reflect a tension between creating an inclusive definition that addresses broad environmental justice concerns versus ensuring that the definition not be so broad as to be impractical or counterproductive in targeting the most impacted areas, the discussions do not reflect consideration of a BACT mandate or evidentiary support for the definitions ultimately adopted. *See id.*

On December 11, 2023, after the conclusion of evidence, the Board deliberated and voted to defer the submission of findings of fact and conclusions of law. [*Hearing Transcript* at 2037]. There was never a final resolution regarding

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evidence to support its rulemaking. *See, e.g.,* The Court reviews administrative orders to determine whether they are arbitrary, capricious, an abuse of discretion, not supported by substantial evidence in the record, or otherwise not in accordance with the law. *N.M. Atty. Gen. v. N.M. Publ. Reg. Comm'n,* 2013-NMSC-042, ¶ 9, 309 P.3d 89 (the Court reviews administrative orders to determine whether they are arbitrary, capricious, an abuse of discretion, not supported by substantial evidence in the record, or otherwise not in accordance with the law).

the exact content of the rule and no written draft of the rule existed during the Board's deliberations. Rather, the Board acknowledged ongoing uncertainty about whether they were passing a rule. For example, Vice Chair Richards expressed uncertainty about whether the Board was passing a rule and if so, what rule they were passing. *Id.* She highlighted that the Board did not seem to have clarity on the rule under discussion, indicating that more deliberation was necessary before making a final decision. *Id.*

The Board also acknowledged that there was an issue as to whether there was proper deliberation about the rule. For example, Board member Galewsky shared concerns about the process that led to the hearing, calling it flawed with little stakeholder input, [*Hearing Transcript* at 2058-59 ("First of all, the proposed rule as written is not implementable …. And the process that led us to this hearing was very flawed with so little stakeholder input ….")], which concerns were echoed by others. *Id.*

The Board directed its attorney to draft a final HEEI rule in accordance with its deliberations. [*Hearing Transcript* at 2047-48 (attorney confirming that she was "going to have to produce the regulation … and the reasons justifying it" and that she was "drafting this thing")]. The Board intended to finalize the rule by a subsequent motion and vote, rather than voting on December 11, 2024. [*Hearing*

Transcript at 2048 (attorney confirming that the Board could agree on the text of the rule after it was drafted "and then vote on the whole thing")].

The Board's attorney drafted a final HEEI rule, which is now codified as § 20.11.72 NMAC. However, the attorney's version of the final HEEI rule was different than the Board's deliberations. For example, the Board never deliberated about using BACT as a standard permitting requirement, as set forth above. Nonetheless, the final HEEI rule drafted by the Board's attorney contained such a requirement. *See id.*

The Board never held a meeting to discuss or to vote on the version of the HEEI rule drafted by its attorney. Instead, the Board's attorney had informal discussions with individual Board members and received approval from the Board's Chair and Vice-Chair outside of a properly noticed Board meeting. *See email from Lopez to Richards dated Jan. 18, 2024 1044 AM* [Exh. B to Mot. to Supp. Admin. Record Proper, filed Nov. 18, 2024]. Nonetheless, the Board claims to have adopted a final rule on December 19, 2023 [RP 1787]. Importantly, the Board's attorney admitted during a February 14, 2024 public meeting that the Board did not review, vote on, or ratify the language of the final HEEI rule. *See Feb. 14, 2024 AQCB Zoom Mtg.* [Exh. C. to Mot. to Supp. Admin. Record Proper, filed Nov. 18, 2024]. Despite there being no review of, vote on, or ratification of the final HEEI rule, the Board's attorney nonetheless filed the Board's "Final Order and Statement of

Reasons for Adoption of Regulation Concerning Health Environment and Equity Impacts" (Final Order) with the State Records Center. [RP 1778-95].[3]

The Final Order was filed with the New Mexico State Records Center by the Board's attorney. *See NMAC Transmittal Form* [RP 1796-1821]. The rule transmitted and ultimately published in the New Mexico Register is different from the Final Order the Board claims to have adopted on December 11, 2023. This new and different rule is the HEEI rule, which creates an entirely new part of § 20.11.72 NMAC. Only this HEEI rule is the subject of the current appeal because nothing else is valid or enforceable without being published in the New Mexico Register. *See* NMSA 1978, § 14-4-5(A).

There is no claim that the HEEI rule was approved by a vote of the majority of the Board. To the contrary, on January 18, 2024, the Board's attorney was asked on what date the Board voted to approve the HEEI rule. *See email from Richards to Lopez dated Jan. 18, 2024 916 AM* [Exh. A to Mot. to Supp. Admin. Record Proper, filed Nov. 18, 2024]. The Board's attorney stated that "[t]here was no meeting to approve the language," but that she had "contacted individual Board members about what their vague or unclear statements on the tape meant." *Email from Lopez to*

[3] The final HEEI rule published in the New Mexico Register consists solely of the part titled "Health, Environment, and Equity Impacts," as set forth in § 20.11.72 NMAC. This is the rule Petitioners challenge on appeal, as it is the only published one.

Richarde dated Jan. 18, 2024 1044 AM [*id.* at Exh. B]. Only the Board chair and possibly vice-chair approved the final draft, according to the Board's attorney. *Id.* None of the conversations regarding the purported approval of the HEEI rule was held pursuant to a noticed public meeting.

On January 26, 2024, Petitioners filed their "Motion for Correction of Adopted Rules to Accurately Reflect the Record." [RP at 1822-1828]. The Board denied Petitioners' Motion in its "Order Denying Motion for Correction." [RP at 1840-44]. Petitioners then filed this appeal.

On February 14, 2024, the Board held a public meeting during which the HEEI rule was discussed. *See Feb. 14, 2024 AQCB Zoom Mtg.* [Exh. C. to Mot. to Supp. Admin. Record Proper, filed Nov. 18, 2024]. During that meeting, the Board's attorney stated that the Board did not review the language of the HEEI rule prior to her submission to the State Records Center. *Id.* at 1:32:30-1:35-02. Instead, the Board's attorney took some of the Board members' smiles and nods at the December 11, 2023 meeting as approval of the rule she subsequently drafted, despite those Board members never having seen the HEEI rule. *See id.*

The Board's attorney confessed she circumvented procedure because it was too hectic to get a rule approved in the Board's timeframe and the HEEI rule was like "Cinderella" because "everything was going to turn into a pumpkin by a certain date" if she did not file a rule and "there was no time to have a meeting or have

notice for a meeting." *Id.* The Board's attorney also admitted that the HEEI rule had not been ratified by the Board. *Id.* The Board, therefore, was aware that the HEEI rule was defective by virtue of the fact that the Board did not review or vote on it prior to the Board's attorney filing it with the State Records Office.

SUMMARY OF THE FACTS RELEVANT TO THE ISSUES PRESENTED FOR REVIEW

1. On October 24, 2023, the Board published notice of proposed rulemaking that included Version 4 of the proposed HEEI rule.

2. The noticed Version 4 did not include the following provision that is set forth in § 20.11.72.8(D):

> [t]he department shall require BACT for new or modified stationary sources throughout Bernalillo County that emit any one, or combination of, the following fifteen hazardous air pollutants ….

[*Compare id.* (§ 20.11.72.8(D) and RP at 0999-1079 (Version 4)].

3. The noticed Version 4 did not include the following provision that is set forth in § 20.11.72.8(C):

> The department shall require every new or modified stationary source … in or within a one-mile radius of an overburdened area … to apply BACT even if the new or modified stationary source is not a major stationary source.

[*Compare id.* (§ 20.11.72.8(C) and RP at 0999-1079 (Version 4)].

4. The noticed Version 4 did not include the following definition of "Overburdened Area" that is set forth in § 20.11.72.7(D):

> The twenty percent of census block groups in Bernalillo County that experience the highest cumulative environmental and public health stressors … considering the following: environmental factors, health indicators, and social determinants of health indicators ….

[*Compare id.* (§ 20.11.72.7(D) and RP at 0999-1079 (Version 4)].

5. The noticed Version 4 did not include the following definition of "Social Determinants of Health" that is set forth in § 20.11.72.7(E):

> 'Social Determinants of Health Indicators' shall include percent of population age 25 years and older who do not have a high school diploma, percent of households with a total household income below two hundred percent of the federal poverty level, percent of population over the age of five that speak a language other than English in the home and who speak English less than 'very well,' and percent of population that is non-white, and also those who list their ethnicity as Hispanic or Latino.

[*Compare id.* (§ 20.11.72.7(E) and RP at 0999-1079 (Version 4)].

6. These definitions set forth in §§ 20.11.72.7(D) and (E) are substantially different from the definitions set forth in Version 4, the version of the rule that the Board noticed. [*Compare id.* (§ 20.11.72.7(D), (E) and RP at 0999-1079 (Version 4)].

7. The definitions require consideration of factors as part of the permitting process that are not related to the prevention or abatement of air pollution such as socioeconomic factors like health, age, education level, income, race, and ethnicity. *See* § 20.11.72.7(D), (E).

8. The Board held a hearing from December 4 to 11, 2023. [*See, generally, Hearing Transcript* (RP 1618-1652)].

9. There was no evidence presented during the hearing referencing and/or supporting the provisions set forth in §§ 20.11.72.7(D), 20.11.72.7(E), 20.11.72.8(C), and 20.11.72.8(D).[4]

10. The Board did not discuss or deliberate on the BACT mandate set forth in §§ 20.11.72.8(C) or 20.11.72.8(D).[5]

11. The Board did not consider evidence supporting the definitions set forth in §§ 20.11.72.7(D) or 20.11.72.7(E).[6]

12. Section 20.11.72.8(D) is directly inconsistent with the Board's deliberations. Specifically, Board member Galewsky questioned whether the enumerated HAPs "mean[s] that a facility that emits any of those substances even if it's not in an overburdened community has to apply the best available … control technology?" [*Hearing Transcript* at 2078]. The answer was "[n]o … only … within one mile from [an overburdened community]." *Id.* Section 20.11.72.8(D)'s county-wide application is in direct opposition to this clarification.

13. Section 20.11.72.8(C) is also inconsistent with the Board's deliberations. Rather than mandating BACT as a permit requirement for stationary sources in or within a one-mile radius of an overburdened area as set forth in § 20.11.72.8(C), Vice Chair Richards explained that after identifying the health

[4] *See* note 2, *supra.*
[5] *See* note 2, *supra.*
[6] *See* note 2, *supra.*

impacts in overburdened communities through emissions data and analysis, the next step would be to mitigate those health impacts by using different types of technology, including BACT, as part of a mitigation strategy. [*See, e.g.*, *Hearing Transcript* at 2112]. In other words, using BACT was proposed as a discretionary mitigation measure the use of which would be dependent on the outcome of an air quality analysis.

14. There was substantial evidence presented at the hearing in opposition to a BACT mandate. For example, the Board took testimony highlighting concerns about the feasibility of implementing of BACT requirements, including concerns about costs to permit applicants and the financial burden it would place on the city when there were no available funds for the necessary budget items to implement BACT requirements [*See, e.g.*, *Hearing Transcript* at 1985]. In other words, the testimony surrounding BACT was about logistical challenges in implementing BACT requirements and the undue burden it would place on both applicants and the permitting agency.

15. The Board did not vote on the provisions set forth in §§ 20.11.72.7(D), 20.11.72.7(E), 20.11.72.8(C), or 20.11.72.8(D). [*Hearing Transcript* at 2037 (Board voted to defer the submission of findings of fact and conclusions of law); *Hearing Transcript* at 2037-38 (noting the uncertainty of whether the Board was passing a rule or the nature of such rule and indicating that more deliberation was

necessary before making a final decision); *Hearing Transcript* at 2047-48 (attorney confirming she was drafting the rule); *Hearing Transcript* at 2(attorney confirming that the Board intended to finalize the rule by a subsequent motion and vote)].

16. The Final Order does not reference facts or evidence supporting the provisions in §§ 20.11.72.7(D), 20.11.72.7(E), 20.11.72.8(C), or 20.11.72.8(D). [*See, generally Final Order* (RP at 1778-1795)].

17. There was no reasonable opportunity for public review and comment on the provisions that were ultimately adopted as §§ 20.11.72.7(D), 20.11.72.7(E), 20.11.72.8(C), or 20.11.72.8(D) because the Board never noticed those provisions, did not take evidence on them, did not deliberate about them, and never formally voted on them.

18. After the Board's deliberations, it directed its attorney to draft a final HEEI rule in accordance with its deliberations. [*Hearing Transcript* at 2047-48].

19. The Board's attorney's draft of the final HEEI rule, which was codified as § 20.11.72 NMAC, contained provisions that were different than those the Board deliberated on. For example, as set forth above, the Board never deliberated about using BACT as a standard permitting requirement. To the contrary, the evidence presented opposed BACT requirements because of their logistical impracticability and their undue financial burden. Nonetheless, the final HEEI rule drafted by the Board's attorney contained such a requirement.

20. The Board never held an open meeting to discuss or to vote on the version of the HEEI rule drafted by its attorney. Instead, the Board's attorney had informal discussions with individual Board members and received approval from the Board's Chair and Vice-Chair outside of a properly noticed Board meeting. [Exhs. A and B to Mot. to Supp. Admin. Record Proper, filed Nov. 18, 2024].

21. Despite there being no Board notice or review of, deliberations about, vote on, or ratification of the final HEEI rule, the Board's attorney nonetheless filed the Board's Final Order with the State Records Center. [RP 1796-1821].

22. The final HEEI rule was adopted on December 19, 2023 [RP at 1778-1795] and codified as § 20.11.72 NMAC.

LEGAL STANDARD AND PRESERVATION

The Court reviews administrative orders to determine whether they are arbitrary, capricious, an abuse of discretion, not supported by substantial evidence in the record, or otherwise not in accordance with the law. *N.M. Atty. Gen. v. N.M. Publ. Reg. Comm'n,* 2013-NMSC-042, ¶ 9, 309 P.3d 89. An administrative ruling is arbitrary and capricious if it is unreasonable or without a rational basis when viewed considering the whole record. *Id.* at ¶ 10; *see also Wylie Bros. Contracting Co. v. Abq.-Bernalillo County Air Quality Control Board,* 1969-NMCA-089, ¶ 2, 80 N.M. 633, 459 P.2d 159 (same); NMSA 1978, § 74-2-9(C). If the Court finds that the administrative action was arbitrary, capricious, an abuse of discretion, not

supported by substantial evidence in the record, or otherwise not in accordance with the law, it must set aside the action. NMSA 1978, § 74-2-9(C).

"A ruling by an administrative agency is arbitrary and capricious if it is unreasonable or without a rational basis, when viewed in light of the whole record." *SW Org. Project v. Albuquerque-Bernalillo Cnty. Air Quality Control Bd*., 2021 NMCA-005, ¶ 9, 482 P.2d 1273 ("SWOP") (quoting *Rio Grande Chapter of the Sierra Club v. N.M. Mining Comm'n*, 2003-NMSC-005, ¶ 17, 133 N.M. 97, 61 P.3d 806). To determine whether an agency decision is supported by substantial evidence, the Court of Appeals "'does not permit accepting part of the evidence and totally disregarding other convincing evidence in the record considered as a whole.'" *Duke City Lumber Co. v. N.M. Env't Improvement Bd*., 1984-NMSC-042, ¶ 14, 101 N.M. 291, 681 P.2d 717 (*quoting N.M. Hum. Servs. Dep't v. Garcia*, 1980-NMSC-025, ¶¶ 4-5, 94 N.M. 175, 608 P.2d 151). Therefore, "'in reviewing administrative decisions where the record as a whole must be considered, the [Court of Appeals] may act on other convincing evidence in the record and may make its own findings based thereon.'" *Id*.

All the legal challenges addressed below were preserved in the manner set forth in the Docketing Statement, § IV or should be deemed preserved as set forth in that Section of the Docketing Statement, which is incorporated herein by reference.

LEGAL ARGUMENT

A. The Board failed to provide proper notice of its rulemaking

"No regulations or emission control requirement shall be adopted until after a public hearing …." 1978 NMSA, § 74-2-6(B). Notice of the hearing must state the subject of the proposed rulemaking, 1978 NMSA, § 74-2-6(C), including a summary of the full text of the proposed rule and access to the full text. Section 20.1.1.301(B)(1), (6) NMAC; *see also* 1978 NMSA, § 12-8-4(A)(2)(b) (notice must include the express terms or an adequate description of the substance of the proposed action); § 20.11.82.19(C) NMAC (public notice must include a description of the proposed regulatory change); *Southwestern Publ. Serv. Co. v. N.M. Publ. Reg. Comm'n,* 2024-NMSC-012, ¶ 45, 548 P.3d 97 (recognizing the notice requirements prior to rulemaking); *Rivas v. Bd. of Cosmetologists,* 1984-NMSC-076, ¶ 9, 101 N.M. 592, 686 P.2d 934 (recognizing that minimal constitutional protections for administrative actions require notice and the right to comment); *Groendyke Transp., Inc. v. State Corp. Comm'n.,* 1969-NMSC-042, ¶ 4, 80 N.M. 509, 458 P.2d 584 (administrative agency must provide proper notice and opportunity for a hearing and may not adopt provisions different than those stated in the public notice).

The Board failed to provide proper notice here of certain portions of the HEEI rule prior to the hearing and prior to adoption. Specifically, the Board did not include in any public notice either a summary of, the express language of, or access to a draft

of the provisions that were ultimately adopted as §§ 20.11.72.7(D), 20.11.72.7(E), 20.11.72.8(C), or 20.11.72.8(D) NMAC. The proposed rule that was the subject of the notice was Version 4, which did not contain those adopted provisions. Even though another version, Version 5, was presented at the hearing, Version 5 also did not contain those adopted provisions.

In short, there is no evidence in the record that the Board ever provided public notice that it would be considering the provisions adopted as §§ 20.11.72.7(D), 20.11.72.7(E), 20.11.72.8(C), or 20.11.72.8(D) NMAC. Therefore, in adopting § 20.11.72, the Board violated the Air Quality Control Act, § 74-2-6(B), its own Rulemaking Procedures as set forth in § 20.1.1.407 NMAC, the Administrative Procedures Act, §§ 12-8-4(A)(2)(b), and well-established New Mexico legal precedent requiring notice and the opportunity to be heard during the rulemaking process. The Court, therefore, must set aside § 20.11.72 NMAC based on the Board's violation of statutory and administrative rulemaking procedures, resulting in a deprivation of Petitioners' constitutional rights. *See Rivas v. Bd. of Cosmetologists,* 1984-NMSC-076, at ¶ 9.

Although the Board may argue that the differences between provisions in the noticed rule (Version 4) and provisions contained in the final rule as codified in §§ 20.11.72.7(D), 20.11.72.7(E), 20.11.72.8(C), or 20.11.72.8(D) NMAC do not warrant setting aside the entirety of § 20.11.72, or that the ultimate rule simply

amended the version noticed, differences between regulations proposed and noticed prior to a hearing and those finally adopted will not be fatal only if "the major portion of the proposed regulations remain unchanged in their final form, and the changes made are consistent with data, views, arguments or testimony presented at the hearing." *Wylie Bros.*, 1969-NMCA-089, at ¶ 32. The Board here cannot meet either of those two tests.

First, the codified provisions are significantly different than what was proposed. For example, there was no county-wide BACT mandate in the noticed rule. Likewise, there was no BACT mandate within one mile of overburdened areas. However, that unduly onerous mandate, which the Board acknowledged as onerous in its deliberations, was adopted and is a significant part of § 20.11.72. Therefore, the Board cannot argue that the major portion of § 20.11.72 remains unchanged from the noticed Version 4. Second, the Board cannot point to any evidence in the record to show that the changes between the noticed Version 4 of the rule and the final provisions set forth in §§ 20.11.72.7(D), 20.11.72.7(E), 20.11.72.8(C), or 20.11.72.8(D) NMAC are consistent with the evidentiary record because, as set forth more fully herein, there was no evidence presented at the hearing supporting the changes and the Board never discussed or voted on them. Therefore, the BACT mandate and other un-noticed provisions were not a logical outgrowth of the noticed Version 4 of the proposed rule. Accordingly, the Court should set aside § 20.11.72

based on the Board's violations of the required notice provisions. The Board's actions were not transparent and were inconsistent with the law, denying stakeholders the opportunity to address the changes, especially the expansion of the burdensome BACT requirements.

B. There is a lack of substantial evidence supporting the Board's rulemaking

In making rules, the Board must consider the (1) character and degree of injury to or interference with health, welfare, visibility, and property; (2) public interest, including the social and economic value of the sources and subjects of air contaminants; and (3) technical practicability and economic reasonableness of reducing or eliminating air contaminants from the sources involved and previous experience with equipment and methods available to control the air contaminants involved. 1978 NMSA, § 74-2-5(F). While the Board may give the weight it deems appropriate to these factors, the statute requires the Board to consider them. *See id.; see also SW Org. Project,* 2021-NMCA-005, at ¶ 15 ("the Board must take into account the reasonable probability of injury standard when exercising its rulemaking power as required by Section 74-2-5"). In addition, if the Board adopts a rule that is more stringent than the federal regulations, or one that applies to sources not subject to regulation, the Board must determine, based on substantial evidence after

a properly noticed public hearing, that the proposed rule would be more protective of public health and the environment. 1978 NMSA, § 74-2-5(G).

As a preliminary matter, there was no evidence, let alone substantial evidence, of any of the above-factors regarding a county-wide application as set forth in the HEEI rule because the proposed rules did not include county-wide mitigation measures. Nonetheless, the HEEI rule applies to the entirety of Bernalillo County. *See, e.g.*, NMAC, § 20.11.72.8(A). The listed HAPs were presented as a narrow list of HAPs to be considered as part of a risk assessment screening, rather than screening over 200 possible HAPs. In the event results from screening this narrower list showed exceedances, a risk assessment would be done. There was no evidence presented that regulating this list of HAPs with no threshold by requiring application of BACT generally to this list would provide any public health benefit. Drawing such a conclusion would be based on pure speculation.

Such a conclusion is also contrary to the testimony of Dr. Campen, UNM's toxicologist who testified that HAPs are greatly diluted at short distances. This conclusion also contradicts Paul Wade's testimony that BACT is designed for criteria pollutants, not HAPs [*Tr.* at 1718]. In other words, the listed HAPs were not presented by UNM or any other party as a regulatory target, but rather as a limited list of hazardous pollutants to be used for screening and risk assessment. This was the stated method of addressing HAPs in each version of the proposed rule, Versions

1 through 5, and in UNM's proposal. There is no evidence that the county-wide application of BACT to the list of HAPs emissions was based on the consideration of (1) character and degree of injury to or interference with health, welfare, visibility, and property; (2) public interest, including the social and economic value of the sources and subjects of air contaminants; and (3) technical practicability and economic reasonableness of reducing or eliminating air contaminants from the sources involved and previous experience with equipment and methods available to control the air contaminants involved. *See* 1978 NMSA, § 74-2-5(F) (listing factors the Board must consider in rulemaking).

Moreover, because the HEEI rule's requirement is stricter than the EPA's federal requirement, a finding based on substantial evidence after notice and public hearing must be made that the proposed rule will be more protective of public health and the environment. *See* 1978 NMSA, § 74-2-5(G). As the HEEI rule was an ad hoc creation of the Board during its deliberations, no notice or public hearing on this provision was satisfied. No testimony regarding a benefit to public health or the environment was part of the record.

There is also insufficient evidence supporting the Board's adoption of the final HEEI rule's provisions set forth in §§ 20.11.72.7(D), 20.11.72.7(E), 20.11.72.8(C), or 20.11.72.8(D) NMAC, particularly regarding the alleged public health benefits of the BACT mandate. In fact, during the hearing, there was substantial evidence

presented in opposition to a BACT requirement, as set forth above. On the other hand, there was no evidence presented supporting a BACT mandate. The testimony regarding BACT was in the context of mitigation measures to be imposed following an HEEI analysis depending on the outcome of that analysis. There was never any discussion of or evidence presented supporting the BACT mandate. The lack of substantial evidence in the record to support the BACT requirement necessitates setting aside the rule as codified in § 20.11.72. *See* NMSA 1978, § 74-2-9(C).

> In adopting a new rule, an administrative agency is required to provide a statement of the reasons for doing so. Although formal findings are not required, the record must indicate the reasoning of the [agency] and the basis on which it adopted the rule. The [agency] need not state its reasons for adopting each provision in a rule or respond to all concerns raised in testimony; such a requirement would be unduly onerous and unnecessary for the purposes of appellate review. We require only that the public and reviewing courts are informed as to the reasoning behind the [rule].

Earthworks Oil & Gas Accountability Project v. N.M. Oil Conservation Comm'n, 2016-NMCA-055, ¶ 12, 374 P.3d 710 (internal quotation marks and citations omitted). The Board's Final Order here makes no reference to any evidence in the record supporting its rulemaking or any testimony or documentary evidence that informed its decision.

While it is not this Court's function to weigh the evidence presented during the hearing, *Otero v. N.M. State Police Board,* 1972-NMSC-021, ¶ 5, 83 N.M. 594, 495 P.2d 394, an argument that the Court should not substitute its opinion for that of the Board only comes into play "where there is a difference or a conflict in the

evidence, not a complete absence" of evidence. *Public Serv. Co. of N.M. v. N.M. Environmental Improvement Bd.,* 1976-NMCA-039, ¶ 15, 89 N.M. 223, 549 P.2d 638. Here, there is a complete absence of evidence supporting the Board's rulemaking; therefore, the Court should set it aside.

C. The Board's rulemaking was arbitrary and capricious

The Board's rulemaking was arbitrary and capricious because it was unreasonable and without any rational basis in the record. *See Wylie Bros.,* 1969-NMCA-089, at ¶ 2 (defining arbitrary and capricious). As set forth above, there is no evidentiary record demonstrating support for the provisions in §§ 20.11.72.7(D), 20.11.72.7(E), 20.11.72.8(C), or 20.11.72.8(D), making the rulemaking arbitrary and capricious. However, the Board's rulemaking was also unreasonable because the final rule was outside of the scope of the issues noticed for the hearing, the evidence presented during the hearing, and even the Board's deliberations. For example, as set forth above, the Board's deliberations focused on overburdened areas and those areas within one mile of them, yet the final rule extended the BACT mandate across the entirety of Bernalillo County. Likewise, the evidence at the hearing undermined a BACT mandate because of the logistical and financial burdens BACT requirements would create. Nonetheless, the final rule contains a BACT mandate. These inconsistencies between the issues noticed, evidence presented, and deliberations versus the final adopted rule demonstrates that the decision was not

based on a rational connection with the factual record, violating principles of administrative law.

The Board's rulemaking was also unreasonable, arbitrary, and capricious because it did not even vote on the final rule. As set forth above, after the Board's deliberations, it directed its attorney to draft a final HEEI rule in accordance with its deliberations. The Board's attorney's draft of the final HEEI rule was different than the Board's deliberations. The Board never held a meeting to discuss or to vote on the version of the HEEI rule drafted by its attorney. Despite there being no review of, vote on, or ratification of the final HEEI rule, the Board's attorney nonetheless filed the Board's Final Order with the State Records Center. In effect, it was the Board's attorney who unilaterally drafted § 20.11.72 NMAC and came up with a rule containing provisions that were directly contrary to the Board's deliberations and the evidence presented during the hearing, which provisions were published without Board consideration or a vote. It is hard to imagine a process that is more arbitrary, capricious, and unreasonable than what occurred here.

The Board is the administrative body that is authorized to prevent or abate air pollution. NMSA 1978, § 74-2-5(A). Therefore, it is the Board that has the authority to adopt rules to accomplish that purpose. NMSA 1978, § 74-2-5(A). To that end, the Board is the body that deliberates and decides on the nature of rules to adopt. *See* § 20.11.82.32(A) NMAC. There is no statutory or regulatory permission for the

Board to delegate rulemaking authority to its attorney. To the contrary, it is the Board that must decide on proposed regulations. *See* § 20.11.82.32(B), (F) NMAC. The mechanism for the Board's decision making, if the board does not reach a decision at the conclusion of the hearing, is to convene and decide when a quorum of the board is available. Section 20.11.82.32(D). There was no vote taken during a meeting where a quorum of the board was present.

It is undisputed here that the Board never approved the provisions set forth in §§ 20.11.72.7(D), 20.11.72.7(E), 20.11.72.8(C), or 20.11.72.8(D) that its attorney drafted. It never voted on them and it never ratified them. Allowing § 20.11.72 NMAC to stand would undermine the procedural and evidentiary requirements for rulemaking. A regulation is not effective unless it is adopted by a majority vote of a quorum of the issuing agency. *See Kerr-McGee Nuclear Corp. v. N.M. Environmental Impact Bd.*, 1981-NMCA-044, ¶¶ 7, 8, 97 N.M. 88, 637 P.2d 38 (holding that the Environmental Impact Board's regulation was not in effect because it was not adopted by a proper vote).

D. The Board exceeded its statutory authority

The Board exceeded its statutory authority by adopting provisions unrelated to the control and abatement of air pollution, particularly with the codification of the definitions of "Overburdened Area" and "Social Determinants of Health." These definitions fall outside the scope of the Board's statutory mandate under the Air

Quality Control Act. Specifically, the Act is clear in its purpose, empowering the Board to adopt regulations to control and abate air pollution, which would include measures aimed at maintaining air quality, monitoring pollutants, and establishing standards for emissions. *See, e.g.,* 1978 NMSA, § 74-2-5(B). Provisions that aim to regulate areas beyond air quality control, such as economic, social, or unrelated public health issues, exceeds the authority granted by the Act. The Act does not grant the Board jurisdiction to address every potential factor that influences public health or socioeconomic conditions unless those factors have a direct and clear connection to air pollution.

The definition of "Overburdened Area" contained in § 20.11.72.7(D) NMAC involves factors that are not directly related to air pollution, such as age, education, income, and race or ethnicity. By defining an "Overburdened Area" to socioeconomic indicators such as age, education, income, and race or ethnicity, without having heard any evidence linking those factors to a greater exposure to air pollution, the definition veers into regulating social policy rather than air quality. Therefore, expanding its regulatory focus to cover broad social determinants, absent any explanation of how they are related to air quality, falls outside the Board's statutory powers.

Similarly, the Board also overreached in including such factors in the definition of "Social Determinants of Health Indicators." Although such indicators

are important in understanding public health generally, they are not inherently related to air pollution and there was no evidence presented at the hearing of a correlation between the enumerated indicators and air pollution. The Board's statutory authority is to ensure air pollution is controlled and minimized to protect health. Addressing broader health outcomes influenced by complex social factors falls within the realm of public health agencies or economic policy, not air quality control.

Courts have consistently found that administrative agencies cannot expand their regulatory reach beyond the authority granted to them by their enabling statutes. Regarding the Air Quality Control Act specifically, given the mandate to prevent or abate harmful emissions, prior to adopting a regulation, the Board must first "determine which quantities and durations of air contaminants may, with reasonable probability, cause injury." *Southwest Organizing Project v. Abq.-Bern. County Air Quality Control Board,* 2021-NMCA-005, ¶ 12, 482 P.3d 1273. Only after making that determination and defining the quantities and durations of air contaminants that may cause injury to a reasonable degree of certainty can the Board use its rulemaking power. *See id.* In using that rulemaking power, the Board must accomplish the legislative mandate to prevent or abate air pollution. *Id.* Nowhere in the record is there evidence that the Board here engaged in such a process.

Therefore, because the Board exceeded the scope of its authority, the Court should set aside § 20.11.72 NMAC.

E. The final HEEI rule is impermissible vague and ambiguous

The final HEEI rule's definitions of "Overburdened Area" and "Social Determinants of Health Indicators" set forth in set forth in §§ 20.11.72.7(D), 20.11.72.7(E) are vague, subjective, and unenforceable, creating uncertainty for businesses and regulators alike. "When evaluating whether an administrative regulation is unconstitutionally vague, the Court applies the same legal principles as it does when evaluating the vagueness of a statute. A regulation is unconstitutional if it is so vague that persons of common intelligence must guess at its meaning and would differ in its application." *Old Abe Co. v. N.M. Mining Comm'n,* 1995-NMCA-134, ¶ 25, 121 N.M. 83, 908 P.2d 776 (internal quotations and citations omitted).

The definition of "Overburdened Area" lacks specific criteria or clear thresholds for determining what constitutes "overburdened." Even assuming the term refers to areas suffering from environmental or social stressors, the definition still does not detail any measurable factors such as pollution levels, income brackets, or health outcomes, making it necessary to guess at the meaning and allowing different interpretations. For example, the definition does not specify what level of pollution qualifies an area as "overburdened." It does not indicate how many health

impacts or social stressors are necessary to be considered "overburdened." Given the absence of such specifics, it is necessary to guess or rely on subjective interpretation, leading to inconsistent application of the definition. Therefore, it is unconstitutionally vague. *See Old Abe Co.*, 1995-NMCA-134, at ¶ 25.

The same is true regarding the term "Social Determinants of Health Indicators." While the social determinants include factors like age, income, education, and race or ethnicity, the definition does not clarify which indicators are prioritized, how data is collected, or what thresholds define a significant impact. Therefore, the definition leaves room for interpretation. Different people might emphasize different determinants, resulting in varying conclusions about the health status of a population. Again, therefore, that subjectivity and vagueness render the definition unconstitutionally vague. *See id.*

Sections 20.11.72.7(D) and 20.11.72.7(E) lack clear criteria for defining the terms contained in those definitions, leading to unpredictable outcomes and arbitrary enforcement. Therefore, the final HEEI rule is impossible to enforce in a consistent and fair manner, violating due process principles. Accordingly, the Court should set aside the rule.

The HEEI rule is also internally inconsistent, rendering it ambiguous. A court cannot apply a statute or regulation according to its plain meaning if adherence to the text would lead to an internal contradiction. *Cf. N.M. Petroleum Marketers Ass'n*

v. N.M. Envtl. Improvement Bd., 2007–NMCA–060, ¶ 11, 141 N.M. 678, 160 P.3d 587 ("We apply statutes according to their plain meaning, unless adherence to the literal meaning would lead to injustice, absurdity, or internal contradiction").

The HEEI rule states in § 20.11.72.7(A) that BACT has the definition as set forth in § 20.11.61.7(M) NMAC. Section 20.11.61.7(M) states that BACT is an emissions limitation based on a reduction of a "regulated NSR pollutant." In other words, BACT measures apply only to a "regulated NSR pollutant" according to the express language of § 20.11.61.7(M). Therefore, the HEEI rule, by expressly applying that definition, should only apply BACT measures to "regulated NSR pollutant[s]." However, the HEEI rule requires BACT measures for the emissions of HAPs, § 20.11.72.8(D), which are not "regulated NSR pollutant[s]" under any regulatory definition. Therefore, the HEEI rule both limits BACT measures to NSR pollutants and expands BACT measures beyond NSR pollutants. Accordingly, the HEEI rule is internally inconsistent.

Defined terms are critical to ensure that a regulation is clear and precise. When the same regulation contains internal, definitional inconsistences, it creates ambiguity. This means that those subject to the regulations may interpret them differently, which may lead to unintended noncompliance or unequal enforcement, undermining the fairness of the regulation and reducing trust in the regulatory process. Defined terms are meant to bring clarity and precision to regulatory

frameworks. The HEEI rule, which is internally inconsistent regarding the application of a defined term, is, therefore, ambiguous.

Because of the multiple ways the HEEI rule is vague and ambiguous, the Court should set it aside.

F. The Board violated the Open Meetings Act

New Mexico's Open Meetings Act requires that all meetings of a public body, except the legislature and the courts, must be public meetings so any citizen can attend and listen to the public body's deliberations. NMSA 1978, § 10-15-1(A). If a quorum of a public body meets to develop rules, such a meeting is generally considered a public, open meeting. NMSA 1978, § 10-15-1(B). Specifically, if there is a meeting where there is a discussion about adopting a proposed rule and a majority of the public body is in attendance, such meeting shall be held only after public notice. NMSA 1978, § 10-15-1(D). Notice must also be provided for any closed meetings. *Id.* These provisions ensure that public boards conduct their decision-making processes transparently and in public view.

The Board here did not reach a decision about approving the proposed rule at the hearing. To the contrary, as set forth in the record, the Board directed its attorney to draft the regulation, which it intended to consider and vote on at a later date. Given those circumstances, the board was required to vote at a meeting where a quorum was present. *See* § 20.11.82.32(D) NMAC. However, the Board never

convened a public meeting to discuss the draft regulation proposed by its attorney and never even voted on the draft regulation that was ultimately adopted as § 20.11.72 NMAC. In other words, § 20.11.72 was adopted outside of an open meeting, or outside of any meeting, without discussion, without a vote, and without a quorum of the Board. This procedure directly violated the Open Meetings Act requiring public notice and an open meeting prior to the adoption of any proposed rule. *See* NMSA 1978, § 10-15-1(D). Accordingly, the Court should set aside the final rule, codified as § 20.11.72 NMAC.

CONCLUSION AND RELIEF REQUESTED

The adoption of § 20.11.72 NMAC was arbitrary, capricious, an abuse of discretion, not supported by substantial evidence in the record, or otherwise not in accordance with the law. Section 20.11.72.8(D) is not a Board determination and is otherwise illegal for the additional reasons stated. Therefore, the Court must set it aside because it cannot be corrected or revised in a manner that satisfies 1978 NMSA, §§ 74-2-5(F) and (G) and the other required substantive and procedural requirements. The Board's actions in establishing the final HEEI rule and its Statement of Reasons are improper and invalid for the numerous reasons set forth herein. Therefore, the Court must set aside the Board's action. *See* 1978 NMSA, § 74-2-9(C).

WHEREFORE, Petitioners respectfully request the Court to set aside the adoption of § 20.11.72 NMAC in its entirety for the reasons set forth herein, or alternatively to set aside § 20.11.72.8(D) NMAC, and for such further relief as the Court deems appropriate.

Respectfully submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that the foregoing brief was filed through the Odyssey File-and-Serve electronic filing system, which caused a copy of the brief to be served automatically on all counsel of record this 4th day of December, 2024.

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